



Stylam Industries Q2FY23 results were better than expectations recording highest ever quarterly revenue.

Key business highlights

- The company reported a 18.5% volume growth in the laminates segment and achieved a capacity utilization of 89% in the quarter.
- The domestic revenue grew by 24% QoQ & 21% YoY which is a big positive as it clearly indicates its growing presence in the domestic markets.
- Solid acrylic sheets reported an improvement in the performance recording a sales of INR 6 crores (2 crores in Q1FY23).

Key Financial Highlights

- Revenue at INR 2463Mn, +4.8% qoq/+43.3% yoy
- EBITDA (excl OI) at INR 395Mn, +12% qoq/+62% yoy
- EBITDA margin at 16.07% vs 15.03% vs 14.23% in Q1FY23/Q2FY22
- PAT at INR 242Mn, +16% qoq/+61% yoy
- EPS at INR 14.26 vs 12.38/8.85 in Q1FY23/Q2FY22

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	4,621	4,795	6,593	9,330	10,857
EBIDTA	796	990	1,036	1,462	1,877
Margins (%)	17.2	20.7	15.7	15.7	17.3
Adjusted net profit	189	553	610	884	1,177
EPS (Rs)	11.2	32.6	36.0	52.2	69.5
P/E (x)	96	33	30	20	15
EV/EBITDA (x)	24	19	18	12	9
RoCE (%)	19.65	25.13	21.08	26.64	28.83
RoE (%)	9.26	21.32	19.30	22.09	22.91

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	1,319	17

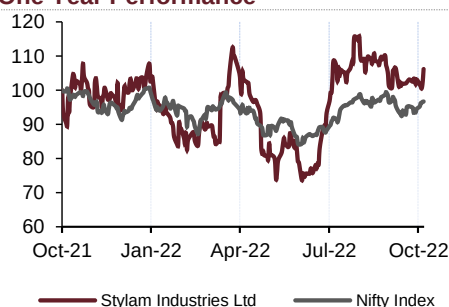
Market data

Current price	Rs	1,123
Market Cap (Rs.Bn)	(Rs Bn)	19
Market Cap (US\$ Mn)	(US\$ Mn)	230
Face Value	Rs	5
52 Weeks High/Low	Rs	1269 / 760
Average Daily Volume	('000)	11
BSE Code		52695

Bloomberg

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	54.61	55.61
Public	45.39	45.39
Total	100	100

Source: Bloomberg

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Concall Highlights:

- **Revenue Guidance:** The management is confident of atleast maintaining the quarterly runrate of ~240 crores for the remaining quarters as well i.e topline of ~950 to 1000 crores.
- **Margin Guidance:** As stated earlier by the management that the raw material prices had started to soften, it has been reflected in the current quarter with an improvement in the gross margins (from 56.9% to 55.6%). The margins should remain in the range of 15 to 20% for FY23.
- **Solid Acrylic Surface:** Sales of Rs 5-6 crores in Q2 and expects a quarterly runrate of 15-20 crores in H2FY23. The product has gained a lot of acceptability in the North & South India and it expects the runrate to improve even further from FY24. Progress in this segment will be closely tracked. Going forward it is a key trigger for the growth of the company.
- **Domestic market:** The company has set up distributors all over the country and is confident that the domestic market will clock a sales turnover of ~ 320 to 330 crores in FY23 (FY22 – Rs 240 crores). The distribution network has increased by 21% in the last 6 months for the domestic market.
- **Capacity Utilisation:** The company has achieved a capacity utilization level of 89% in Q1 and expects to increase going forward. 3.2 mn sheets were sold in Q1FY23.
- **Capacity expansion:** The company is expanding its company by 40% for value added products which will come onstream by the end of FY23 and expects a high revenue potential of ~ Rs 200 to 300 crores.
- **Demand Scenario:** The management has indicated no slowdown in demand in any of their markets as preference for Indian products is increasing because of quality and cost competitiveness. The company has indicated some softness in USA where their presence anyways is very low but a key target market going forward.

Quarterly Snapshot

Stylam Industries		YoY		QoQ	
Particulars (Rs Mns)	Q2FY23	Q2FY22	Growth	Q1FY23	Growth
Revenue from operations	2,463.4	1,719.50	43.3%	2,349.94	4.8%
Other income	2.518	42.10	-94.0%	2.51	0.4%
Total Income	2,465.9	1,761.6		2,352.4	
Cost of Materials consumed	1,451.6	1,010.19	43.7%	1,445.53	0.4%
Purchase of stock in trade	0.0	2.10	-100.0%	0.01	-100.0%
Changes in inventories of					
Finished goods and WIP	-81.8	-6.73	1116.0%	-108.46	-24.6%
Employee Benefit expenses	168.5	143.40	17.5%	153.94	9.4%
Other Expenses	529.3	325.93		505.63	
EBITDA (excl other income)	398.4	286.7	39.0%	355.8	12.0%
Less : Depreciation	60.1	59.37	1.1%	57.74	4.0%
PBIT	338.4	227.4		298.1	
Less: Interest cost	13.4	19.13	-30.0%	21.98	-39.1%
PBT (before exceptional)	325.0	208.2	56.1%	276.1	17.7%
Exceptional	0.0	0.00		0.00	
PBT (after exceptional)	325.0	208.2	56.1%	276.1	17.7%
Less : Tax	82.9	57.93		66.60	
PAT	242.1	150.3	61.1%	209.5	15.6%
EPS	14.26	8.85	61.1%	12.38	15.2%
Gross Margins	55.60%	58.48%		56.90%	
EBITDA Margins	16.17%	16.67%		15.14%	
Net profit Margin	9.82%	8.53%		8.90%	
Sheets sold (in Mns)					
Laminates	3.2	2.70	18.5%	2.70	18.5%
Average Realisation/sheet					
Laminates	751	637	17.9%	866	-13.3%

Source: Company, Dalal & Broacha Research

Valuation & Outlook

At CMP of INR 1125, the company is trading at 21.5x FY23e and 16.19x FY24e. The company has delivered yet another quarter of strong topline and margin performance which were better than expected. The company has increased its penetration in the domestic laminates market growing by 15% QoQ and the exports remaining robust despite the prevailing macroeconomic conditions. The company is on track to double its revenue by FY25. We have re-rated the stock and assigning a target multiple of 19x FY24e and **arrive at a target price of INR 1319**. We remain optimistic on the growth prospects of the company and recommend *ADD*.

FINANCIALS

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	4,621	4,795	6,593	9,330	10,857
Total Operating Expenses	2,491	2,465	3,755	5,262	6,123
Employee Cost	375	383	548	600	650
Other Expenses	959	957	1,255	2,006	2,206
Operating Profit	796	990	1,036	1,462	1,877
Depreciation	210	231	233	249	295
PBIT	586	759	803	1,213	1,582
Other income	10	11	80	40	40
Interest	109	60	78	66	42
PBT	487	710	805	1,187	1,580
Profit before tax (post)	335	710	805	1,187	1,580
Provision for tax	146	157	195	303	403
Reported PAT	189	553	610	884	1,177
MI	-	-	-	-	-
Net Profit	189	553	610	884	1,177

Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Equity capital	85	85	85	85	85
Reserves	1,958	2,510	3,076	3,918	5,053
Net worth	2,042	2,595	3,161	4,003	5,138
Non Current Liabilites	577	426	230	218	193
Current Liabilites	1,334	1,051	1,498	1,946	1,942
TOTAL LIABILITIES	3,953	4,071	4,889	6,168	7,272
Non Current Assets	2,105	1,933	1,830	2,164	2,172
Fixed Assets	2,061	1,878	1,787	2,119	2,124
Goodwill	-	-	-	-	-
Non Current Investments	15	14	11	11	11
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	13	14	15	15	15
Other Non Current Assets	16	27	16	19	21
Current Assets	1,847	2,138	3,059	4,004	5,101
Current investments					
Inventories	667	718	1,329	1,335	1,552
Trade Receivables	874	986	1,188	1,592	1,851
Cash and Bank Balances	61	151	87	553	1,094
Short Term Loans and Advances	0	0	0	0	0
Other Current Assets	245	282	456	524	602
TOTAL ASSETS	3,953	4,071	4,889	6,168	7,272

FINANCIALS

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	189	553	610	884	1,177
Add: Dep. & Amort.	210	231	233	249	295
Cash profits (Inc)/Dec in	399	785	843	1,133	1,472
Sundry debtors	(85)	(113)	(201)	(404)	(259)
Inventories	(5)	(51)	(611)	(6)	(218)
Other financial assets	149	(13)	10	(2)	(3)
Other Current Assets	12	(37)	(174)	(68)	(79)
Current Liab and Provisions	58	(77)	(39)	114	5
Sundry Creditors	82	160	65	421	163
Change in working capital	211	(131)	(949)	55	(390)
CF from Oper. activities	610	654	(106)	1,188	1,082
CF from Inv. activities	187	(47)	(139)	(580)	(300)
CF from Fin. activities	(758)	(517)	181	(141)	(241)
Cash generated/(utilised)	39	90	(65)	467	541
Cash at start of the year	22	61	151	87	553
Cash at end of the year	61	151	87	553	1,094
Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	17.23%	20.65%	15.71%	15.67%	17.29%
NPM	4.08%	11.51%	9.14%	9.44%	10.80%
Tax Rate	43.57%	22.08%	24.19%	25.50%	25.50%
Growth Ratios (%)					
Net Sales	0.33%	3.76%	37.50%	41.50%	16.37%
Operating Profit	-0.32%	24.37%	4.60%	41.12%	28.41%
PBIT	-6.10%	45.68%	13.39%	47.50%	33.11%
PAT	189	553	610	884	1,177
Per Share (Rs.)					
Net Earnings (EPS)	11.2	32.6	36.0	52.2	69.5
Cash Earnings (CPS)	12.4	13.7	13.7	14.7	17.4
Dividend	-	-	2.5	2.5	2.5
Book Value	121	153	187	236	303
Free Cash Flow	25	36	(15)	36	46
Valuation Ratios					
P/E(x)	96	33	30	20	15
P/B(x)	8.8	7.0	5.7	4.5	3.5
EV/EBIDTA(x)	23.8	18.5	18.0	12.4	9.2
Div. Yield(%)	0.00	0.00	0.23	0.23	0.23
FCFF Yield(%)	2.34	3.36	-1.36	3.36	4.33
Return Ratios (%)					
ROE	9.26%	21.32%	19.30%	22.09%	22.91%
ROCE	19.65%	25.13%	21.08%	26.64%	28.83%

Source: Company, Dalal & Broacha Research

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